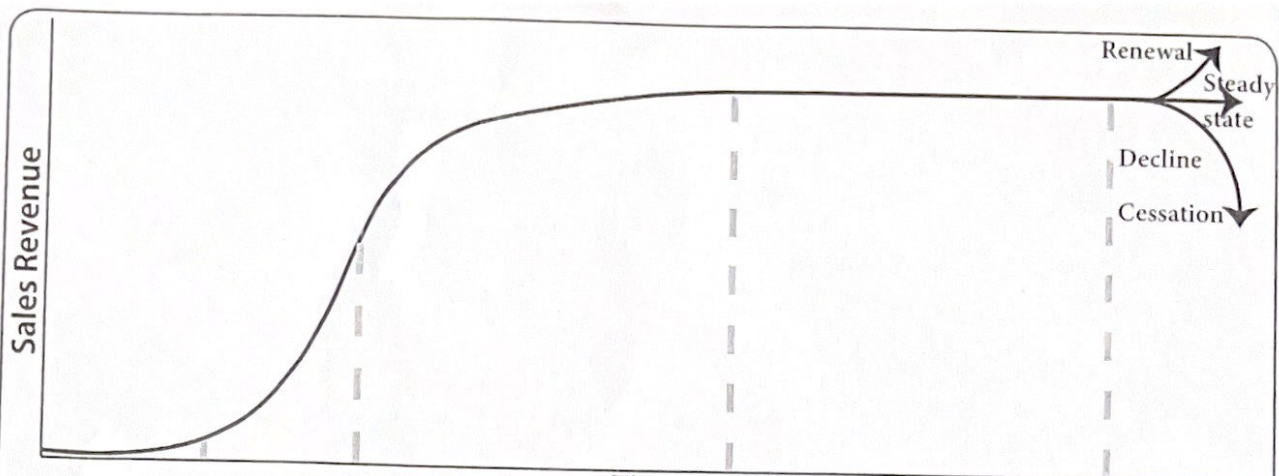




Establishment Characteristics	Growth Characteristics	Maturity Characteristics	Post-maturity Characteristics
- customers not familiar with product - retailers reluctant to put on shelves - takes time to establish product - expenses higher than sales revenue - typically characterised by negative profits - Key idea - Businesses lose money in the establishment stage	- rapid increase in sales - pressure on resources, particularly cash and labour - cash problems develop - competitors attracted by increasing sales	- sales level off - market for product is saturated - time to employ professional managers - focus on remaining competitive	- final stage of life cycle - falling sales and loss of market share - cash flow problems emerge - business starts to decline
Strategies to meet the challenges	Strategies to meet the challenges	Strategies to meet the challenges	Strategies to meet the challenges
- prepare for the cash problem with adequate savings - develop effective marketing strategies to price and promote products - do Business courses to develop the management skills needed - research government regulations	- prepare to work even harder - develop an effective credit policy to collect debts efficiently - consider factoring - carefully pick the time when professional managers are needed	- focus on cutting costs - examine every aspect of value chain to cut costs - diversify into new products - find ways to grow the value of the business	- improve the competitive position of the business through cost cutting - renewal may be a possibility with new products - new managers with new ideas - manage the closure effectively and ethically